VETERAN AFFAIRS CANADA – CLAIM SUMMARY TOOL

IRCC Peer Review

February 2026

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Executive Summary

The peer review report assesses Veterans Affairs Canada (VAC) AI-enabled Claim Summary Tool (CST) to support adjudication of Disability Pension and Pain and Suffering Compensation claims. This review is necessary for compliance with the Treasury Board of Canada Secretariat's (TBS) policy direction on artificial intelligence applications or other automated systems in administrative decision-making. Guided by the TBS Directive on Automated Decision-Making, the report evaluates the compliance, impact, transparency, accountability, ethical and responsible use, and improvement areas of VAC's solution. At the time of the review, the evidence presented by VAC and assessed by IRCC peer reviewers concludes that VAC's solution is vigorous and necessary safeguards have been established to ensure the privacy of clients.

Background

Veterans Affairs Canada (VAC) is introducing a new artificial intelligence–enabled Claim Summary Tool (CST) to support the Disability Benefits program (specifically Disability Pension and Pain and Suffering Compensation). This initiative is part of VAC's broader modernization efforts to improve service delivery and reduce processing times for Veterans and their families.

The Claim Summary Tool uses AI technology—including Microsoft Azure's Document Intelligence and OpenAI's language models—to assist VAC staff in reviewing complex claim files. Specifically, the tool analyzes service health records and other documentation to identify relevant documents and generate a summary specific to the claimed condition. This summary helps adjudicators focus on key evidence, rather than sifting through thousands of pages to find relevant documents, enabling faster and more consistent decision-making.

Importantly, the Claim Summary Tool does not make decisions. All eligibility determinations remain the responsibility of VAC employees. All source documents are noted and remain available to decision-makers to review at any time. If a favourable decision cannot be made based on the summary, the full manual review process is followed, ensuring fairness and accuracy.

The tool will be integrated into the decision-making process in a supportive role, with partial automation limited to document summarization. Safeguards are in place to protect Veterans' personal information, including strict adherence to existing privacy protocols and data security standards. The system operates entirely within VAC's secure and approved infrastructure and does not learn from or reuse client data.

The introduction of this tool is expected to result in faster service without compromising privacy or quality. Should a Veteran wish to challenge a decision, the existing redress options remain unchanged.

Approach

During the peer review process, the Immigration, Refugees, and Citizenship Canada (IRCC) data scientists worked with VAC's AI Pod and the Business (Centralized Operations Division) to gain a comprehensive understanding of the summary tool solution, including supporting technologies and processes. To guide the review process and ensure VAC was following available best practices, the IRCC team referred to current TBS guidelines and the Bronson/Millar "*Peer Review for Automated Decision-Making Tools Under Canada's Directive on Automated Decision-Making – A Model Peer Review Process and Recommendations for Best Practices".* This paper is comprehensive and has been used to establish peer review guidelines in the past.

Findings

- IRCC concluded that based on the provided documents and information, the VAC team has sufficiently met the requirements outlined in the TBS Algorithmic Impact Assessment and the solution under review is in accordance with the TBS's Directive on Automated Decision-Making.
- The current review validates that the VAC team has created its solution consistent with TBS objectives for transparency and risk mitigation.
- Peer reviewers have validated that the assigned impact level is correct.
- Peer reviewers have validated that the Algorithmic Impact Assessment has been completed accurately.
- Although there are minor outstanding information at the time of review, this does not impact the adherence of the solution to the directive.

Major Issues

The reviewers have discovered no major issues that have not already been addressed by VAC and for which reasonable mitigation efforts have not been made.

Minor Issues

Minor issues are identified as *less critical concerns that do not undermine the quality of the system*. The reviewers do not classify these issues major because they have already been partially addressed by VAC and their inclusion in the review is to recommend enhancements to preexisting efforts.

1. <u>Optical Character Recognition (OCR) Errors</u>
   The CST relies on Optical Character Recognition (OCR) to capture data from images taken of files that get converted into text before summary. VAC has noted that this OCR process is not always completely accurate, and the decision-maker can be presented with errors in the summarized documents. An example of such an error is a check box answer within a document being swapped after the OCR process (from “yes” to “no”). Currently, VAC provides training to decision-makers regarding how to identify such errors in summarized data and how they can review source data when such issues occur. VAC has also included safeguards into the CST which identifies such structured form data and prompts to the decision-maker to review the source documentation provided. This 'Click-to-source' verification enables decision-makers to instantly cross-reference generated summaries against the original source material to ensure real-time accuracy.

A safeguard (shown inside the red box above) that prompts decision-makers to review source material when the CST detects structured form data.

Due to the potential impact errors in the data could have on the decision-maker (and the possibility for the decision-maker to overlook such errors), the IRCC reviewers have determined this to be a minor issue in the current process. Although VAC have already recognized this concern and have taken steps to mitigate it's potential impact, the reviewers feel it should demand ongoing improvement efforts by VAC. As models improve at recognizing and summarizing form data this minor issue should become less prevalent over time.

2. Minimum acceptance standard for system performance

The current minimum acceptable standard for system performance is that decisions made using CST-generated summaries must align with decisions made through full file reviews at a rate of at least 90%.

VAC recognized the inherent human element in decision-making and has stated that acceptable variations will be considered. Where discrepancies occur, VAC will conduct a more detailed analysis to determine whether the variation falls within acceptable parameters.

It is the opinion of the reviewers that this minimal standard of 90% *may* be conservative. Furthermore, it is difficult to understand what an acceptable amount of variation from this minimal standard may be without first understanding (concretely) the natural variance of decisions made by human decision-makers using traditional means. There is no clear standard for such variance rates and this depends on the specific process under observation. What's important is the attempt to better understand this natural variance before choosing a final system performance standard.

In cases where there is not enough evidence to approve a claim using the CST, a full manual file review occurs. Due of this fact, and that any minor discrepancies between decisions made using the CST versus manual file review could *only result in claims being approved* which otherwise might not have been, the reviewers see this as a minor issue for VAC to consider.

IRCC reviewers suggest VAC attempt to conduct a ground truth analysis (formally or informally) in regards to how much decisions made between subject matter experts vary using the standard full-file review.

3. <u>Improved evidence of bias testing</u>
   During the pilot phase, VAC collected GBA+-related data for bias testing. While the GBA+ assessment provides some additional insights on demographic characteristics and outlines design elements intended to reduce potential barriers, it does not appear, at the time of the review, that sufficient or systematic bias testing has been conducted by VAC. To strengthen future assessments, the team should ensure that bias-testing activities are fully documented, methodologically robust, and aligned with established federal guidance. For example, Veterans Affairs Canada's **Entitlement Eligibility Guidelines (EEGs)** emphasize a structured, evidence-based adjudication process in which decisions rely on clear criteria, documented assumptions, and transparent use of supporting tools. Applying similar principles—such as consistent documentation, clear rationale for analytical decisions, and transparent use of demographic data—would help ensure that the CST is assessed fairly and that any potential differential impacts on diverse population groups are identified and mitigated.

Key (Condensed) Recommendations

1. The minimum acceptance standard for system of at least 90% should be re-analyzed and potentially raised.
2. VAC should continue to understand approximately the scope of (how many) Optical Character Recognition-related errors occur in the pre-summarized data and enhanced safeguards to further mitigate this issue.
3. VAC should use the bias testing data collected to provide additional evidence of bias testing.
4. Periodic reevaluation of employee training to ensure training materials are up to date.

Conclusion

Reviewers have found no significant gaps in compliance with the Directive on Automated Decision-Making and conclude VAC have sufficiently met the requirements outlined in the Algorithmic Impact Assessment (AIA). Given the solutions Impact Level and scoring of the AIA, VAC has taken reasonable steps to meet requirements related to transparency, quality assurance, recourse, and reporting. Reviewers would like to highlight the most significant mitigation of potential risk towards clients is that the CST is used *only* for favourable claim decisions.

IRCC believes the solution is robust and technically sound. After reviewing evidence of testing and validation data, as well as speaking with VAC collaborators, reviewers feel confident about the solutions approaching operational readiness in terms of its reliability in real-world context.

At the time of review, the user interface is rich in detail and the application is user-friendly and highly navigable. To continuously improve the solution, decision makers are given a survey to talk about their experience and look for improvements and changes.

Initial testing of the tool has indicated that the CST provides significant operational advantages, including improved efficiency, greater consistency in evidence review, and meaningful support in reducing adjudication backlogs. At the time of review, VAC has completed testing on 250 claims with a wide variety of claim types. These claims were selected to be representative of the total VAC claim population in regards to language, gender and age. Pilot testing has resulted in a reduction of pages to be reviewed by over 90% and average time required to review a case by approximately 50%.

Before production operation, VAC should consider and implement the necessary recommendations provided in the peer review.